

IAASB Meeting Highlights and Decisions

September 2016

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This summary of decisions of the International Auditing and Assurance Standards Board (IAASB) has been prepared for information purposes only. Except for approval of documents for public exposure and issue of final Standards, decisions reported are tentative, reflect only the current status of discussions on projects, and may change after further deliberation by the IAASB.

A [podcast](#) recording giving a short audio summary of the main outcomes of the September 2016 IAASB meeting is also available on the IAASB website, as are the agenda materials that were considered by the IAASB.

For more detailed information about IAASB projects, please refer to the project summaries under [Current Projects](#).

Enhancements

The IAASB heard a high-level summary of the feedback to the Invitation to Comment (ITC), *Enhancing Audit Quality: A Focus on Professional Skepticism, Quality Control and Group Audits*. It was noted that the feedback was from a wide range of stakeholders and also included comments from the various outreach events held in relation to the ITC.

With regard to the responses to the ITC, there was a wide variety of views both across stakeholder groups and within stakeholder groups. While it was noted by stakeholders that the standards are not broken, they urged that further consideration needed to be given about how to apply them in a wide variety of circumstances, while balancing the views of the various stakeholders. Accordingly, the Audit Quality Enhancements Working Group presented various possible actions in relation to quality control and group audits for discussion with the IAASB.

The IAASB were broadly supportive of further considering the various possible actions in relation to further developing a quality management approach for firm level quality control quality, actions to address the issues relating to quality control at the engagement level, and group audits. However, the IAASB cautioned that further consideration needed to be given to understand the consequences of the possible actions set forth to address scalability of quality control at the firm level.

Quality Control

On the topic on quality control, the IAASB focused on engagement quality control (EQC) reviews and the Quality Control Working Group's (QCWG) recommendations on how best to respond to the feedback from respondents on the ITC.

The IAASB's discussion focused on whether the requirement for an EQC review should be extended beyond audits of listed entities, and if so, whether it should be solely a risk-based approach or whether a more prescriptive requirement is needed. The IAASB also agreed that establishing the objective of the EQC review is important and suggested that the EQC review is a firm-level control, performed at an engagement level. Furthermore, the IAASB considered the current focus of EQC reviews to be appropriate although recommended that clarity be provided on what is meant by

“significant judgments.” With regards to the criteria for the eligibility of the EQC reviewer, the IAASB highlighted the importance of the authority or professional respect of the EQC reviewer

Group Audits

The IAASB discussed and agreed that scoping of group audits should more appropriately reflect the group auditor’s assessment of the risk of material misstatement at the group financial statement level. The Group Audits Working Group will therefore consider how the linkage to the concepts of identifying and assessing the risk of material misstatement in ISA 315 (Revised) for group audit engagements can be strengthened.

Accounting Estimates

The IAASB discussed the Task Force’s proposals relating to the revision of ISA 540. The IAASB’s discussion focused on the risk assessment, work effort, and documentation requirements of the ISA. In particular, the IAASB discussed how best to articulate the work effort, including the level of prescription of the procedures that may be undertaken, and how to draw the link between the enhanced risk assessment procedures the IAASB has explored and the work effort requirements. The IAASB also discussed the scalability of the ISA, and noted that more guidance in ISA 540 may be needed to explain how to apply ISA 540 to “simple” accounting estimates.

Recognizing the importance of dealing with the very complex issues in ISA 540 in a timely fashion, the IAASB encouraged the Task Force to continue developing an exposure draft. The IAASB noted that as the Task Force develops the exposure draft it may become apparent that further time is needed to more fully reflect upon the public interest issues raised.

Professional Skepticism

The IAASB considered preliminary recommendations from the Professional Skepticism Working Group (PSWG) on the actions that could be taken by the IAASB, the International Ethics Standards Board for Accountants (IESBA) and the International Accounting Education Standards Board (IAESB), individually and in coordination, to enhance the application of PS and offered its views on these actions from a public interest standpoint.

The IAASB expressed its support for:

- The continued coordination among the three standard-setting boards (SSBs);
- Providing support for the current IAASB projects (ISA 540, ISA 315, QC, and Group Audits);
- Commencing information-gathering on a project related to Audit Evidence (ISA 500) and Audit Documentation (ISA 230); and
- The concept of a thought-piece, feedback statement or other brief publication to give prominence to the work of the Professional Skepticism Joint Working Group.

The IAASB cautioned against considering some of the issues “longer-term” and urged the PSWG to revisit whether some of these issues could be dealt with in the shorter term. The IAASB also discussed the Professional Skepticism Strawman prepared by IESBA representatives and provided input on the implications and possible unintended consequences of extending the concept of professional skepticism beyond audit and assurance engagements prior to any standard-setting.

Identifying and Assessing the Risks of Material Misstatement through Understanding the Entity and Its Environment

The IAASB approved, subsequent to certain revisions, the project proposal to revise ISA 315. The IAASB also considered issues related to internal control relevant to the audit, significant risks and a proposal related to explicit reference in ISA 315 (Revised) to a spectrum of risks.

On the topic of internal control relevant to the audit, the IAASB was supportive of the ISA 315 (Revised) Task Force continuing to explore scalability within the requirements to understand internal control, noting the importance of maintaining the current audit risk model. The IAASB agreed with the retention of the concept of significant risk but asked the Task Force to explore revising the definition with a focus on the nature of the risk and the filters that may be appropriate. The IAASB also agreed with the proposed factors for the auditor to consider in the identification of inherent risk, suggesting additional factors the TF might consider.

With respect to the spectrum of risks discussions, the IAASB was supportive of the TF continuing to explore the explicit inclusion in ISA 315 (Revised) of a spectrum of risk, cautioning the TF regarding possible consequence of this being unnecessary additional complexity.

Agreed-Upon Procedures

The Agreed-Upon Procedures (AUP) Working Group presented a revised draft of the Working Group's Discussion Paper to the IAASB. The focus of the IAASB's discussions were on the use of professional judgment in an AUP engagement.

The IAASB agreed to publish the Discussion Paper, after final approval by the Steering Committee of the changes made to address the IAASB's comments from its discussions. It is expected that the Discussion Paper will be published at the end of November 2016.

Auditor Reporting

The IAASB received an update on the activities of the Auditor Reporting Implementation Working Group, including outreach and the publications developed by the working group. Furthermore, the feedback from respondents to the ITC related to the auditor's reports was considered.

The IAASB also discussed the planned post-implementation review of the standards. In particular, the IAASB discussed the purpose of the review and the possible design and timing of the review. The IAASB agreed to continue the IAASB's outreach and other activities in the short-to-medium term, with the more formal review to commence in early 2019.

The IAASB was supportive of the Working Group publishing a "frequently asked questions" document, as they believed this to be responsive to stakeholder needs.

Next Meeting

The next physical IAASB meeting will be held in New York, on December 5–9, 2016. The IAASB will also hold a teleconference on November 1, 2016 to discuss matters related to the ISA 540 project.